



MICROSOFT

OUTPERFORM

MSFT US ■ PRICE USD493.8* ■ TARGET PRICE **USD549** (UPSIDE 11%)

FLASH NOTE

Corporate Contact Feedback: Pricing upside still to come

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What happened?

We spoke with Investor Relations at Microsoft ahead of the company's FQ1'27 quiet period. We note there were no changes to the company's guidance / outlook or other intra-quarter updates.

BNPP View:

Microsoft indicated the topic of GPU rental pricing dominated recent investor discussions, with the issue coming up in nearly every investor meeting recently. While Microsoft acknowledged it is taking up price within Azure, the company emphasized it does not intend to revisit the economics of pre-existing contracts, i.e. it will not break existing contracts. Instead, pricing will be reset upon renewal, suggesting any Azure pricing benefit should feather into results gradually rather than create a material step-up in Azure growth over the near-term. Importantly, Microsoft also reiterated that its recent Azure strength is not pricing driven, with fleet-level efficiency gains and continued capacity ramps remaining the most important drivers of growth. We find this reassuring that the acceleration of Azure growth to the mid-40s is before Microsoft has seen any material impact from pricing.

Regarding [Bloomberg's recent report](#) that Microsoft is looking to scale capacity to 38 GW by 2032, the company pushed back on the accuracy of the figure but declined to provide a more specific capacity target. We also asked about speculation that Microsoft may have recently sourced capacity from SpaceX following 1) public comments from Nebius' CEO at a sellside conference, and 2) SpaceX's disclosure of a newly signed compute customer expected to spend ~\$1bn / month beginning in December. To this, the company declined to comment on any specific vendor, but reiterated that it is continually looking for incremental compute as it continues to be in catch-up mode. Microsoft also acknowledged that finding immediate access to near-term capacity is difficult in this current environment, especially for infrastructure that meets Microsoft's needs in terms of specifications. So, while there was no confirmation of a SpaceX relationship, we would not be surprised if there is a potential future announcement.

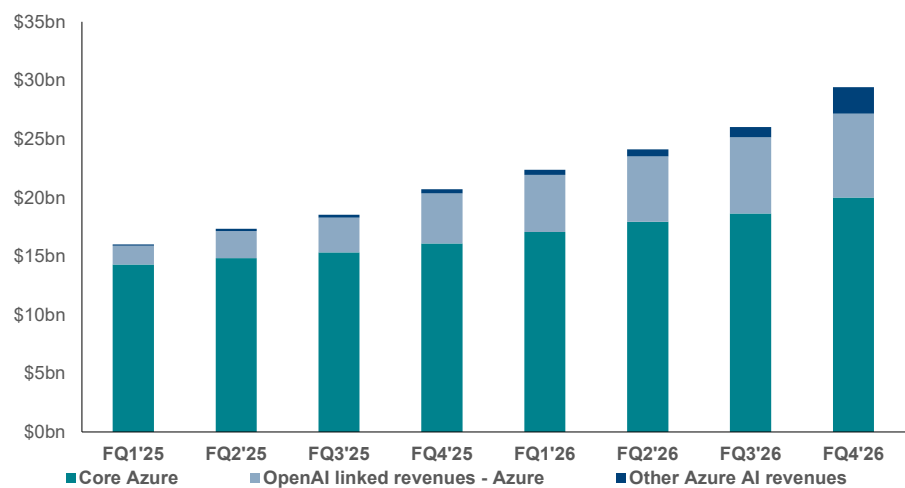
Microsoft also helped clarify many of the details relating to the economics around its relationship with OpenAI. First, the company confirmed the cumulative cap on its revenue share does exist, though declined to disclose the size of the cap and suggested the existence of the cap should not impact results over the foreseeable future. Note, [The Information previously reported](#) that the revenue share cap sits at \$38bn, which we estimate would allow the OpenAI revenue share to continue through early FY29 (assuming OpenAI continues tracking towards its reported long-term revenue targets).

On the revenue share itself, Microsoft noted it does receive some indications from OpenAI on its revenue trends and combines these with OpenAI's Azure usage data to triangulate the potential contribution to embed in its Azure outlook. But the company highlighted that the revenue share has not been a source of Azure outperformance in recent quarters and indicated it would explicitly call out the contribution if it became a material driver of upside.

Finally, on the reciprocal OpenAI revenue share that has been eliminated under the renegotiated agreement, Microsoft reaffirmed the prior reciprocal payment was previously recognized in COGS rather than netted against revenue. As a result, its removal has not been contributing to recent Azure revenue growth.

And on the recent segment restatement, the company reiterated this was primarily intended to align external reporting with how the company increasingly operates internally. Specifically, the lines between the Productivity and Business Processes and Intelligent Cloud segments have continued to blur, making the prior segment structure less representative of how Microsoft manages the business today, as it builds and invests in stacks rather than specific products. The company also confirmed that the guidance for M365 to accelerate though FY'27 still holds under the new segmentation.

Figure 1: Azure estimated revenue split under new restated definition



Source: Company reports, BNP Paribas Equity Research estimates

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	730	52	163	22
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Underperform (Sell)	203	15	38	19

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 18/09/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
16 Jul. 2026 05:26	+	USD549.00	USD401.10	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026 22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

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